

Hotel Booking

Analysis & Business Growth Strategy

Data-Driven Insights from 119,390 Hotel Reservations

Resort Hotel & City Hotel | 2015-2017

119K+

Reservations

37.1%

Cancellation Rate

177

Countries

2

Hotel Types

Dataset Overview



119,390 Records

32 columns across Resort & City Hotels



2 Hotel Types

Resort Hotel & City Hotel analyzed



2015 - 2017

3 years of reservation data



177 Countries

PRT top origin | Global guest base



Data Cleaned

Dropped 'company' & 'agent'; nulls removed

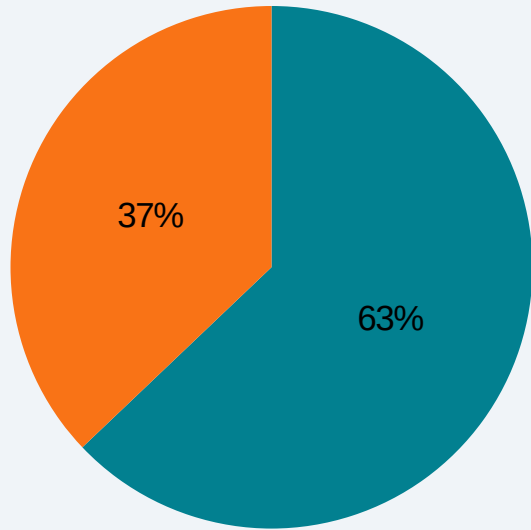


ADR Filtered

Outliers removed (adr < 5000)

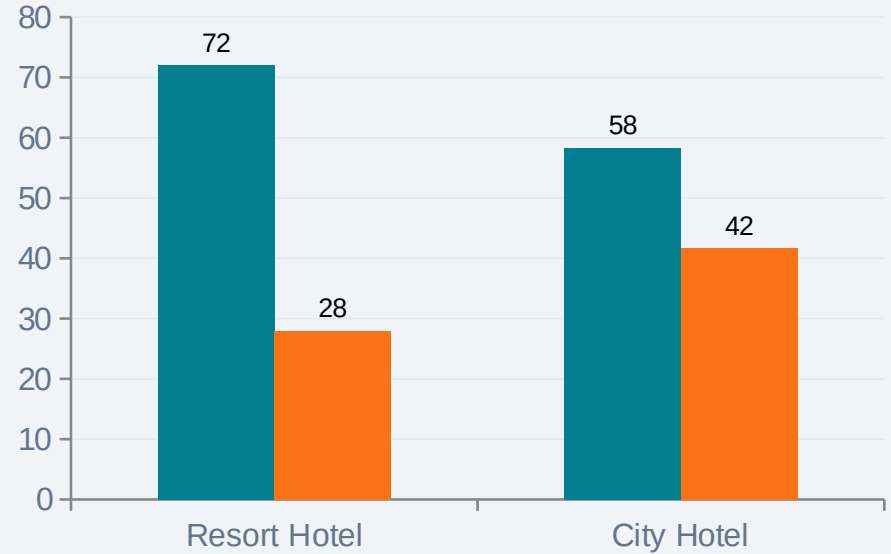
Cancellation Analysis

Overall Reservation Status



■ Not Canceled (62.9%) ■ Canceled (37.1%)

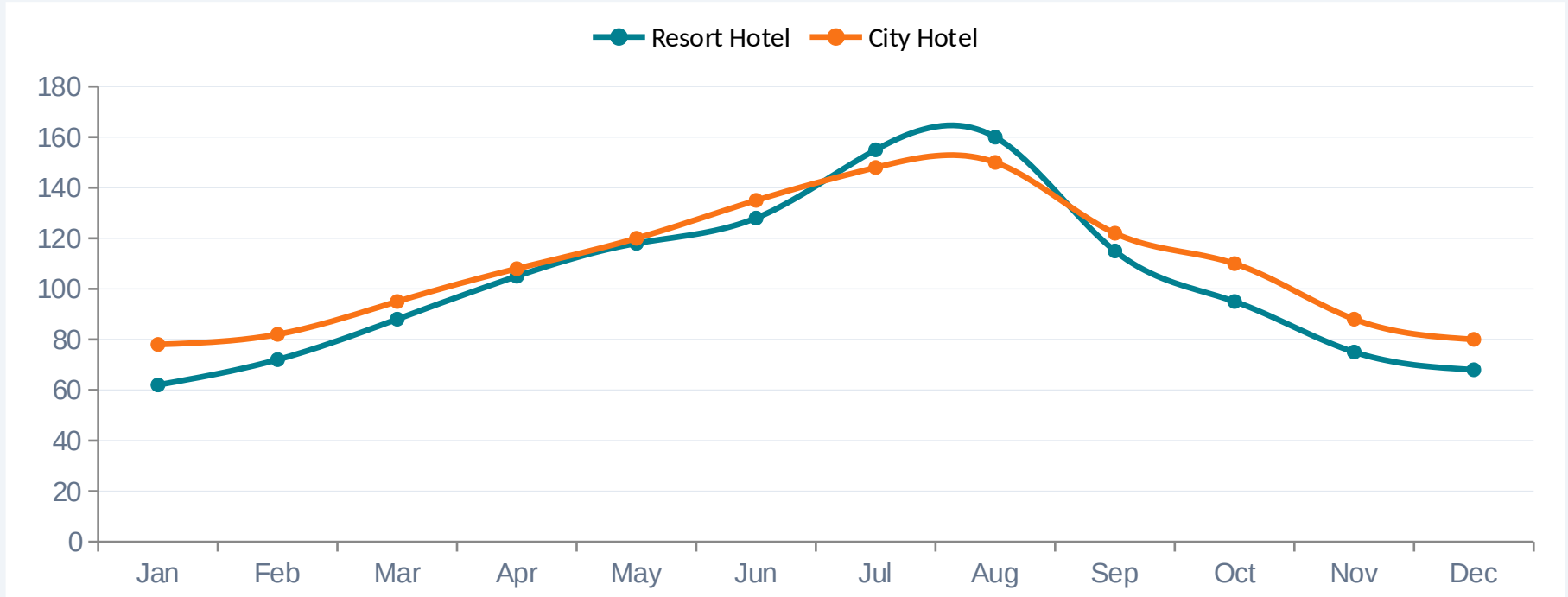
Cancellation Rate by Hotel Type (%)



■ Not Canceled ■ Canceled

⚡ **Key Insight:** City Hotel has 41.7% cancellation rate vs Resort Hotel's 28% — nearly 50% higher risk

Average Daily Rate (ADR) Trends



Resort peaks in summer (Jul-Aug ~\$155-\$160)



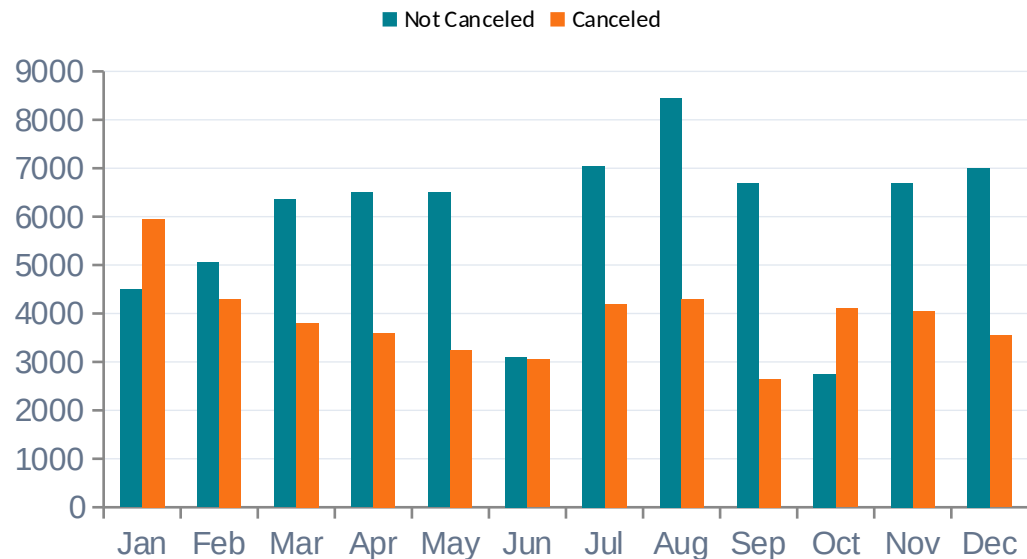
City Hotel stays high year-round (\$78-\$150)



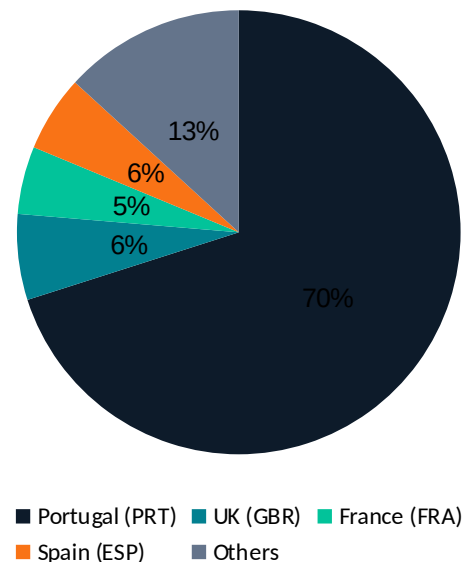
Both hotels peak: Jul-Aug season

Seasonal Trends & Top Cancellation Countries

Reservations by Month



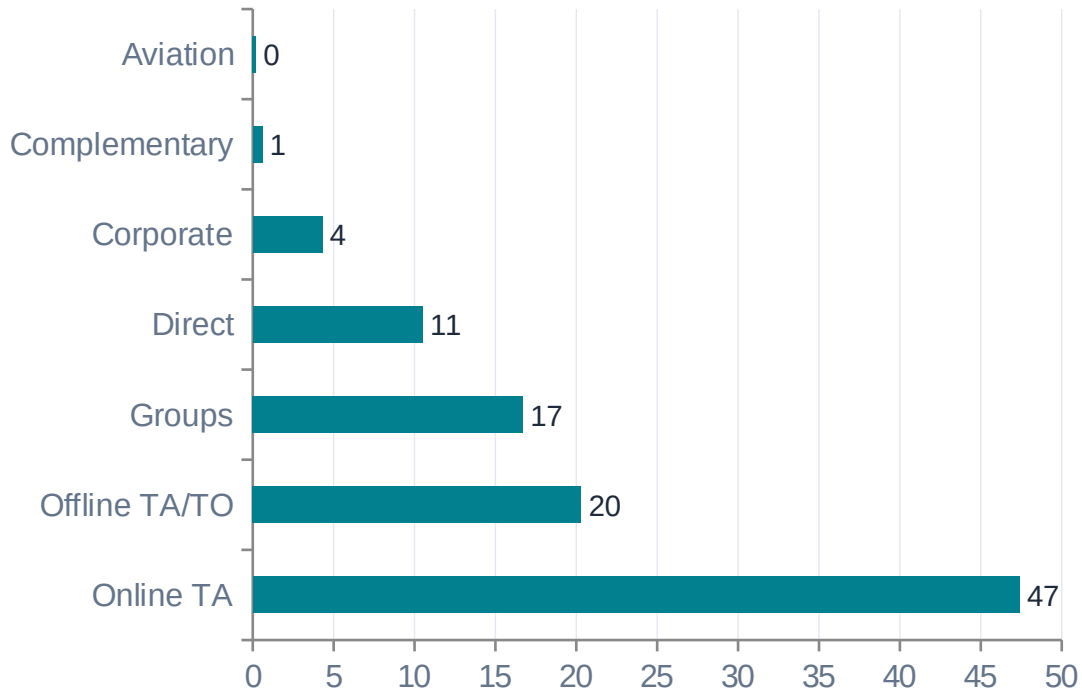
Top Cancellation Countries



⚡ Portugal dominates cancellations at 70%+ — likely due to local booking behavior and flexible policies. Peak activity: Jul–Aug.

Market Segment Analysis

Booking Share by Segment (%)



47.4%

Online Travel Agents

Dominant channel — highest volume

20.3%

Offline TA/TO

Still significant — traditional agents

16.7%

Groups

High-volume segment with package deals

10.5%

Direct Bookings

Highest margin — no commission paid

Business Growth Strategies



01

Reduce Cancellation Rate

Implement non-refundable discount deals & dynamic deposit policies — especially for City Hotel (41.7% cancel rate). Target Portuguese market with stricter deposit terms.



02

Boost Direct Bookings

Only 10.5% book directly. Launch loyalty programs, best-price guarantees, and exclusive perks on hotel websites to cut OTA commission costs (15–25%).



03

Dynamic Seasonal Pricing

Maximize ADR in peak months (Jul–Aug). Offer early-bird discounts in low-demand months (Jan, Sep) to smooth booking volume and reduce vacancy.



04

Target High-Value Segments

Corporate & Direct segments have lower cancellation and higher ADR. Design B2B packages, conference deals, and corporate rate programs.



05

Reduce Long Lead Time Risk

Mean lead time is 104 days. Introduce flexible cancellation for >90-day bookings with tiered fees, reducing last-minute revenue losses.



06

Geo-Targeted Marketing

GBR, FRA, DEU, ITA are strong markets with lower cancellation. Invest in targeted digital campaigns for these countries to drive high-quality bookings.

Revenue Opportunity & KPIs



~\$2.3M

Estimated Annual Revenue
Lost to Cancellations



15-25%

OTA Commission Saved
by Shifting to Direct



+12%

ADR Growth Potential
with Dynamic Pricing



28%→15%

Cancellation Rate Target
City Hotel Goal

Priority Action Roadmap

Initiative	Timeline	Impact
Deposit policy reform for City Hotel	0-3 months	● High
Launch direct booking loyalty program	1-4 months	● High
Dynamic pricing engine (Jul-Aug)	2-5 months	● Medium-High
Corporate/B2B segment packages	3-6 months	● Medium
Geo-targeted digital ads (GBR, FRA, DEU)	2-4 months	● Medium

Key Takeaways

1

City Hotel carries disproportionate cancellation risk at 41.7% — immediate policy action needed

2

Online TAs dominate at 47.4% but incur heavy commissions; direct booking growth is the top revenue lever

3

Seasonal peaks (Jul–Aug) offer the strongest ADR optimization opportunity for both hotel types

4

Portugal accounts for 70%+ of cancellations — geographically targeted retention strategies are essential

5

Corporate & direct segments show better quality bookings with lower cancellation — worth aggressive investment